

**Breakout direction, confirmation.** The pattern breaks out downward. A breakout happens when price closes below the low price of the valley between the two peaks. I show the breakout where price closes below line G.

A downward breakout confirms the big M as a valid chart pattern. If price does not break out downward, then you don't have a big M.

**Duration.** The length of the pattern, from peak to peak, varies from about a week to nearly a year (I often limit pattern width to 6 months, but the longest I cataloged was 254 days. I'm sure I can find wider ones), especially if I use a weekly scale (I prefer daily).

## Focus on Failures

[Figure 6.3](#) shows what a big M failure looks like. Price begins a long climb at A toward peak B. The drop to C and recovery to the second peak, D, is typical for a big M. Contrast dip C with the sloppy head-and-shoulders valley in [Figure 6.2](#).

So far, the chart pattern looks perfect, a textbook example of a big M. Let's look at the volume trend (G). It slopes upward. *Uh-oh*. But a rising volume trend in a big M doesn't have any impact on performance, so who cares?

At E, price breaks out downward when it closes below C, confirming the big M pattern as a valid chart pattern. However, the stock bottoms at E.

What happened?

A trader shorting the stock would become a body on the way to the morgue if they didn't close out their trade promptly. Price steamrolled higher by 131% on its way to being taken over by another company in January 2020.

Notice the breakout day volume. I drew a line from the breakout (E) to the volume bar directly beneath (H). Yes, volume is higher on the breakout day, but it is less than the 1-month average (according to my computer, and it's never lied...so far). The statistics say that breakout volume for big Ms doesn't help or hurt performance. So that's another yawn, and it's not really a performance clue, either.